



The Better Policy Project

The Prudent Risk Management Approach to Macroeconomic Policy:

Constructing the Market Reference Scenario

The Better Policy Project Team
Bangkok 2026



Three ways to prepare the market reference scenario

- 1. Financial markets pricing (interest rates)**
- 2. Surveys (Inflation, GDP growth and exchange rate)**
- 3. Model-based**

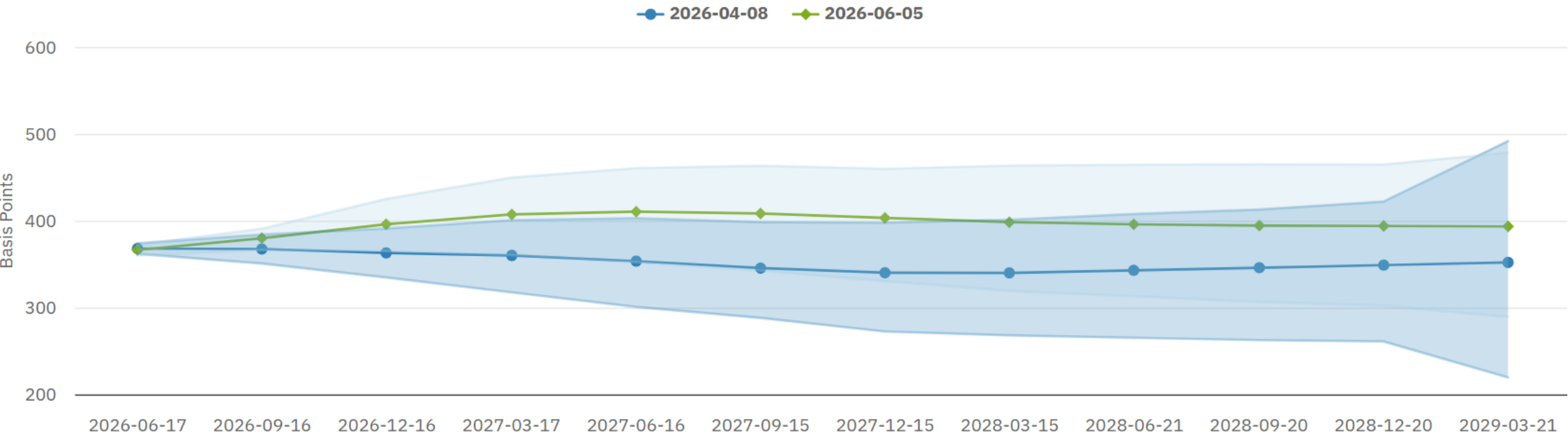


The Policy Rate Path

The Expected Three-Month Average SOFR Path

Current target range: 350 - 375 basis points

≡ Export



Source: Federal Reserve Bank of Atlanta

<https://www.atlantafed.org/research-and-data/data/market-probability-tracker>

GDP and Inflation: Survey of Professional Forecasters

Median Forecasts for Selected Variables in the Current and Previous Surveys						
	REAL GDP (%)		UNEMPLOYMENT RATE (%)		PAYROLLS (000S/MONTH)	
	PREVIOUS	NEW	PREVIOUS	NEW	PREVIOUS	NEW
Quarterly data:						
2026:Q1	1.6	2.6	4.5	4.4	57.1	83.0
2026:Q2	1.7	2.1	4.5	4.5	64.9	67.1
2026:Q3	1.9	2.3	4.5	4.5	61.4	74.9
2026:Q4	1.7	2.0	4.5	4.5	80.6	75.1
2027:Q1	N.A.	2.2	N.A.	4.4	N.A.	80.0

Median Short-Run and Long-Run Projections for Inflation (Annualized Percentage Points)								
	HEADLINE CPI		CORE CPI		HEADLINE PCE		CORE PCE	
	PREVIOUS	CURRENT	PREVIOUS	CURRENT	PREVIOUS	CURRENT	PREVIOUS	CURRENT
Quarterly								
2026:Q1	3.0	2.7	3.1	2.8	2.8	2.9	2.9	2.9
2026:Q2	2.8	2.7	3.0	2.8	2.6	2.7	2.7	2.7
2026:Q3	2.6	2.6	2.7	2.6	2.5	2.5	2.6	2.5
2026:Q4	2.6	2.5	2.7	2.5	2.4	2.5	2.4	2.4
2027:Q1	N.A.	2.4	N.A.	2.5	N.A.	2.4	N.A.	2.4

<https://www.philadelphiafed.org/surveys-and-data/real-time-data-research/spf-q1-2026>



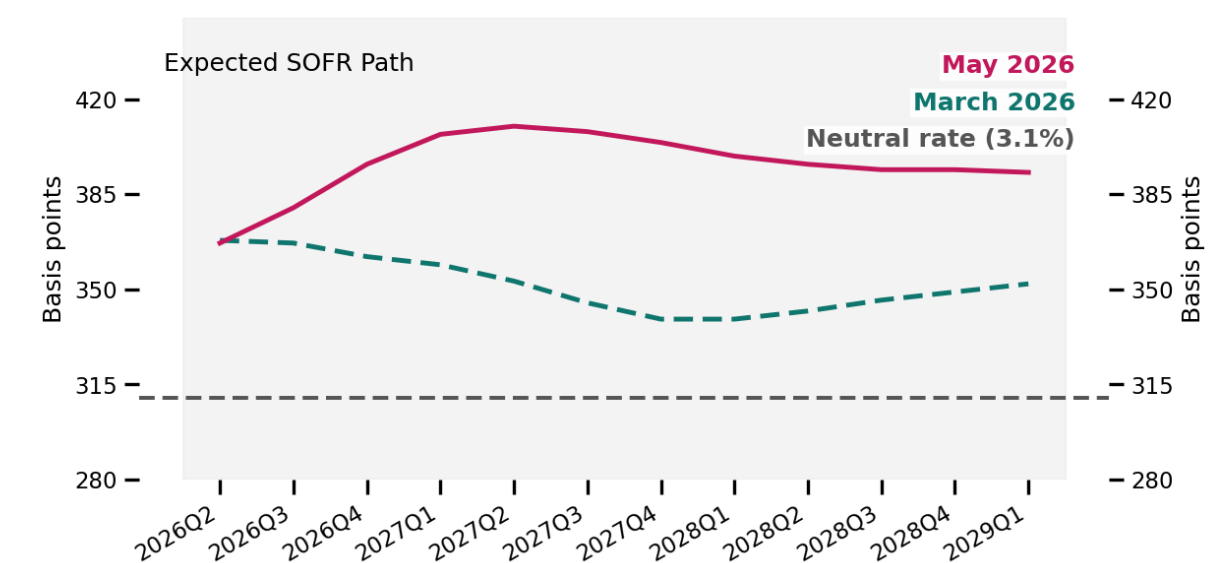
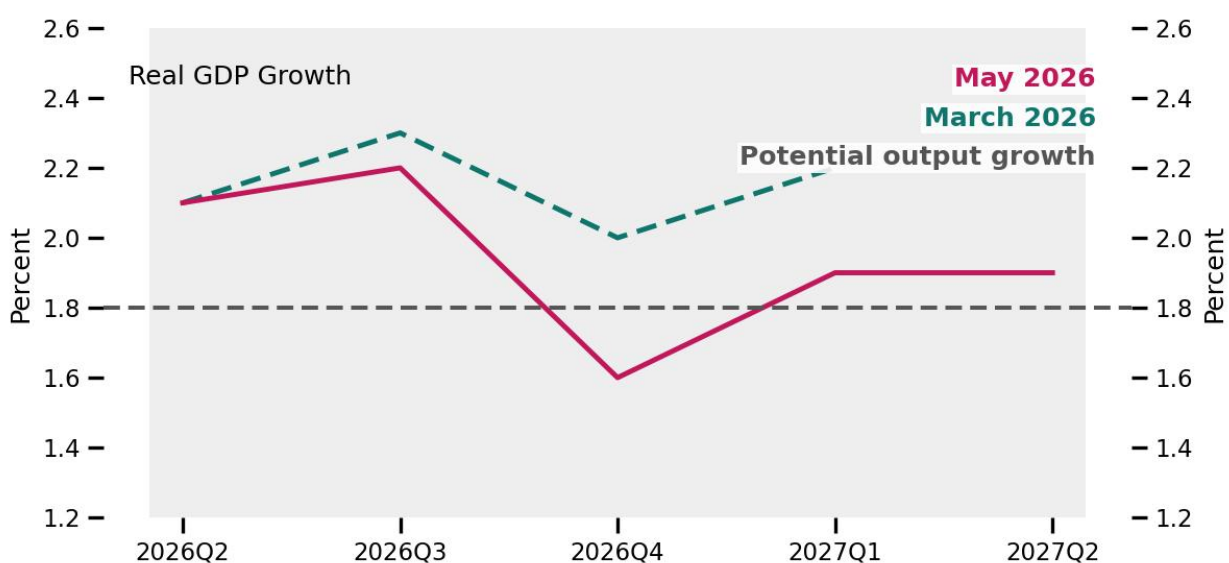
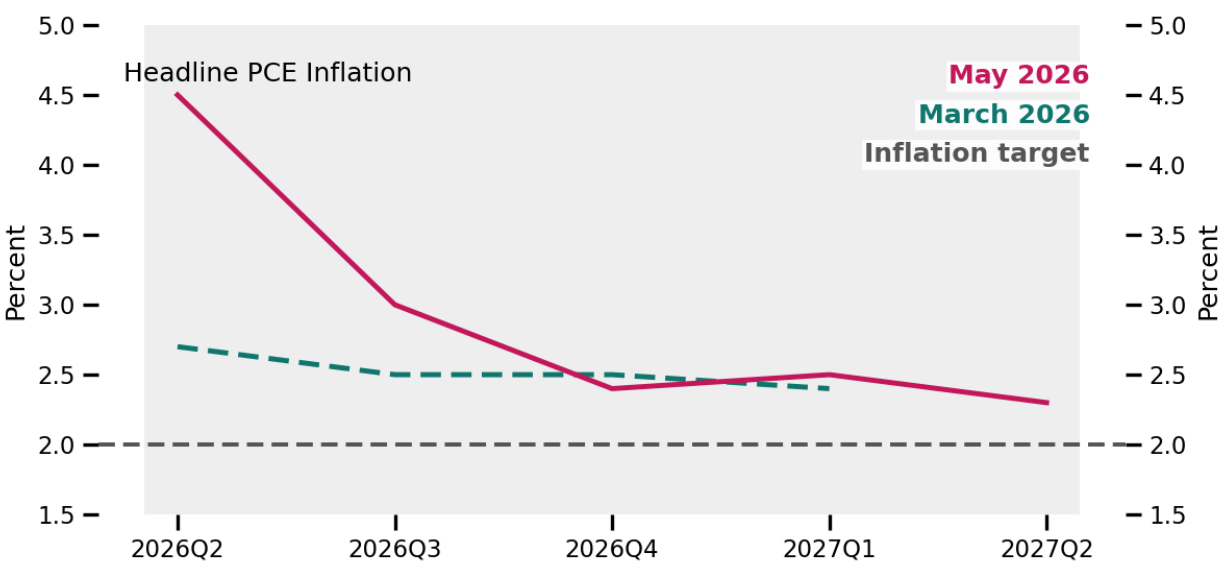
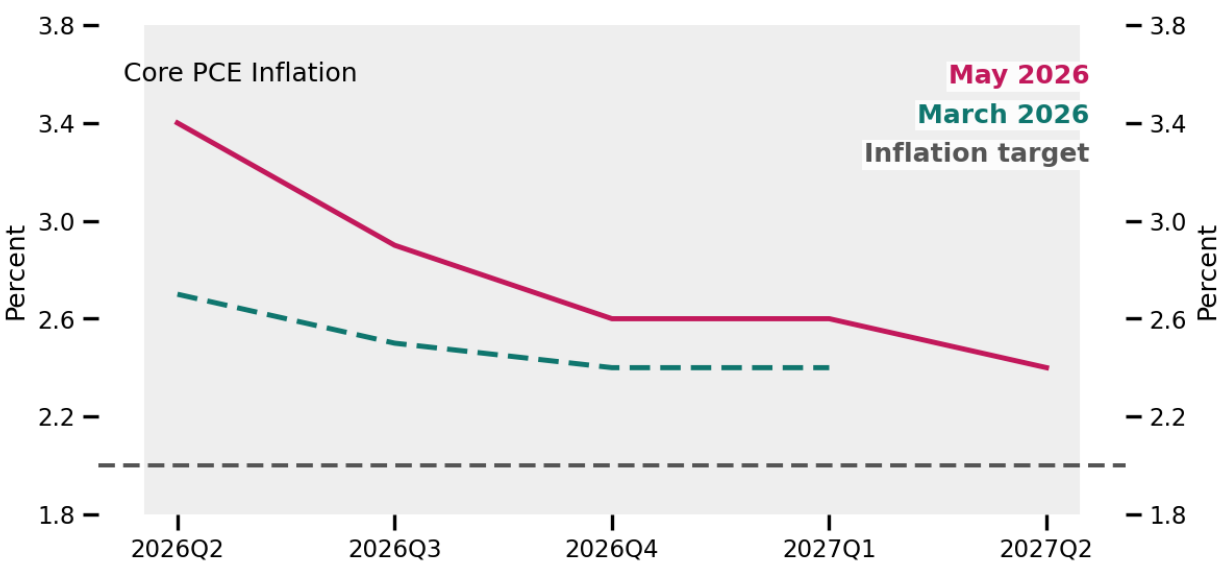
GDP and Inflation: Longer run Fed view

Percent

Variable	Median ¹				
	2026	2027	2028	Longer run	
Change in real GDP	2.4	2.3	2.1	2.0	Potential GDP Growth
December projection	2.3	2.0	1.9	1.8	
Unemployment rate	4.4	4.3	4.2	4.2	Inflation Target
December projection	4.4	4.2	4.2	4.2	
PCE inflation	2.7	2.2	2.0	2.0	
December projection	2.4	2.1	2.0	2.0	
Core PCE inflation ⁴	2.7	2.2	2.0		
December projection	2.5	2.1	2.0		
Memo: Projected appropriate policy path					Nominal neutral interest rate
Federal funds rate	3.4	3.1	3.1	3.1	
December projection	3.4	3.1	3.1	3.0	

<https://www.atlantafed.org/research-and-data/data/market-probability-tracker>

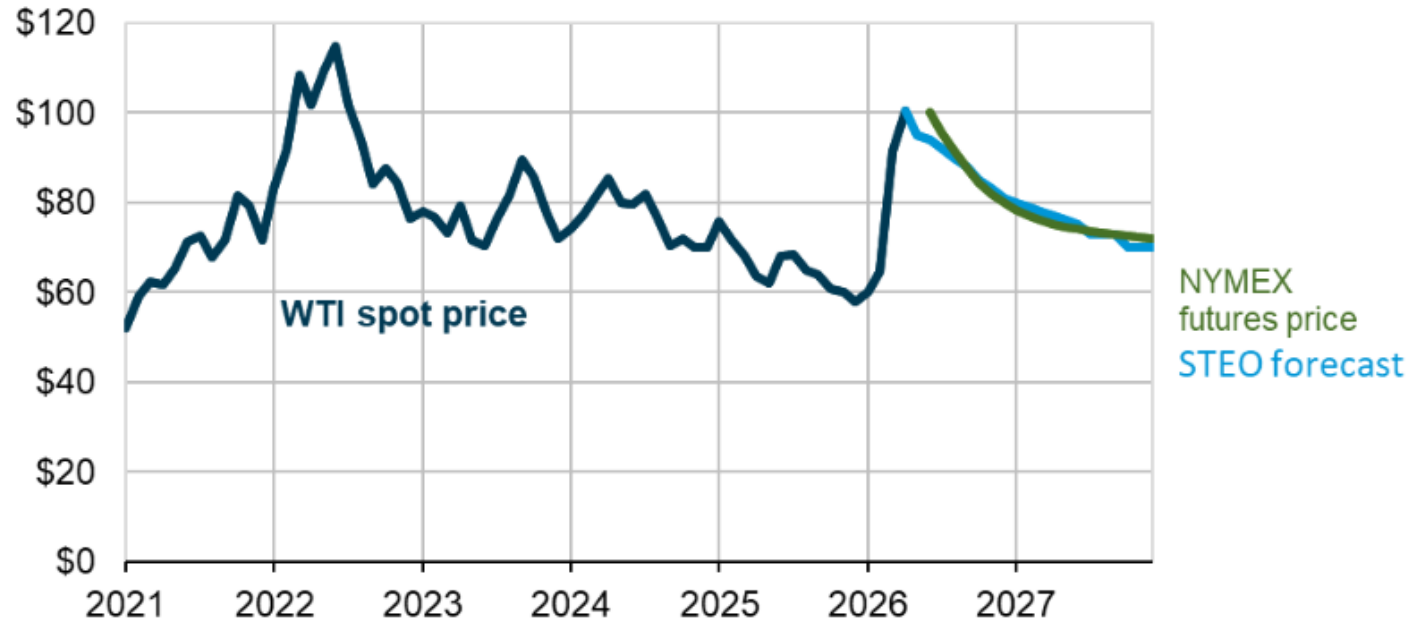
Survey of Professional Forecasters





EIA's Short-term Energy Outlook

West Texas Intermediate (WTI) crude oil price and NYMEX futures price
dollars per barrel



Data source: U.S. Energy Information Administration, Short-Term Energy Outlook, May 2026, Bloomberg, L.P., and LSEG Data

Note: Futures curve is the average settlement price for five trading days ending May 7, 2026



Market Reference Scenario

- March 2026 Narrative:
- May 2026 Narrative:



Market Reference Scenario

- **March 2026 Narrative:** Inflation is above target, slowly converging to the target, real GDP growth growing strongly, policy normalizing but at a higher level than previous estimates.
 - The oil price increase would not have been internalized at that point
 - Lingering tariff pass-through
 - AI story: productivity increases with bottlenecks (potential output, neutral interest rate and higher inflation)
 - Positive aggregate demand: Fiscal deficits



Market Reference Scenario

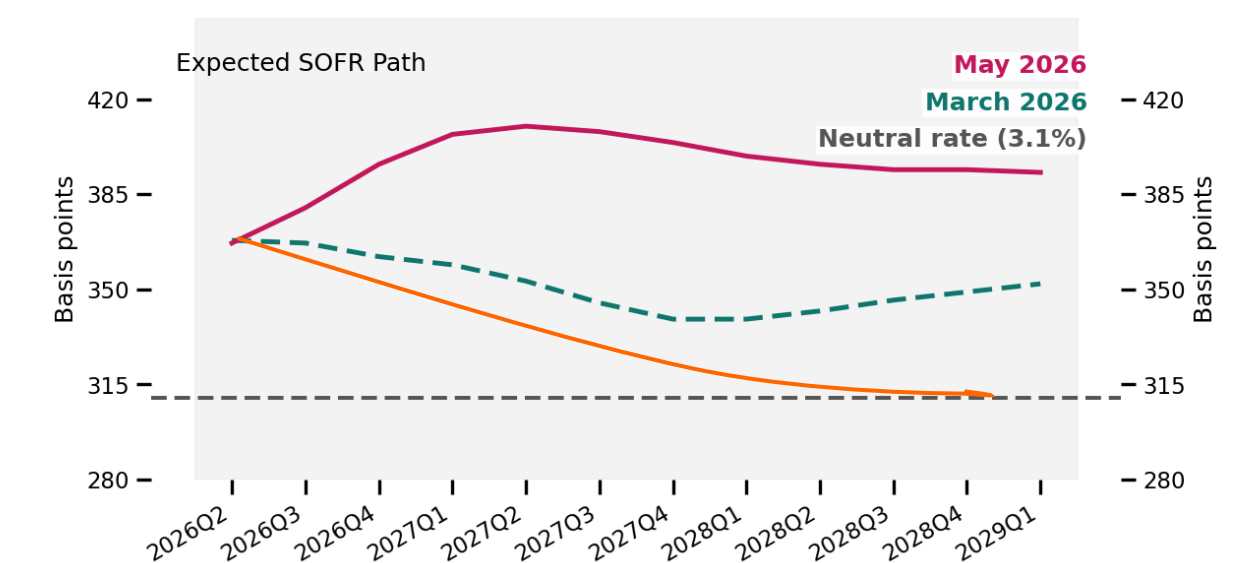
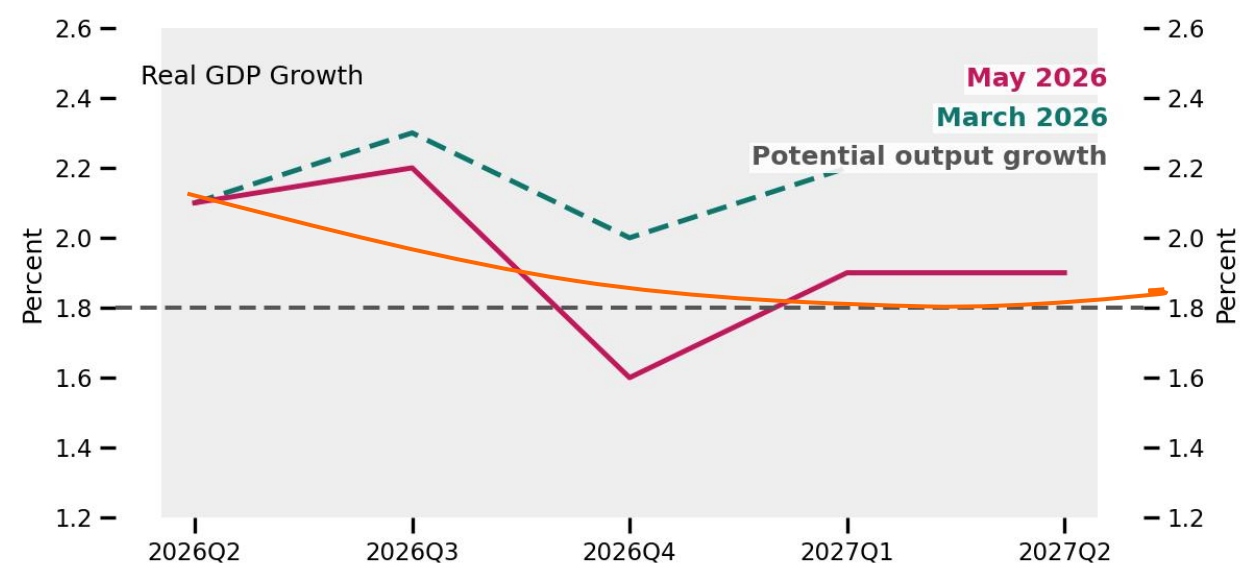
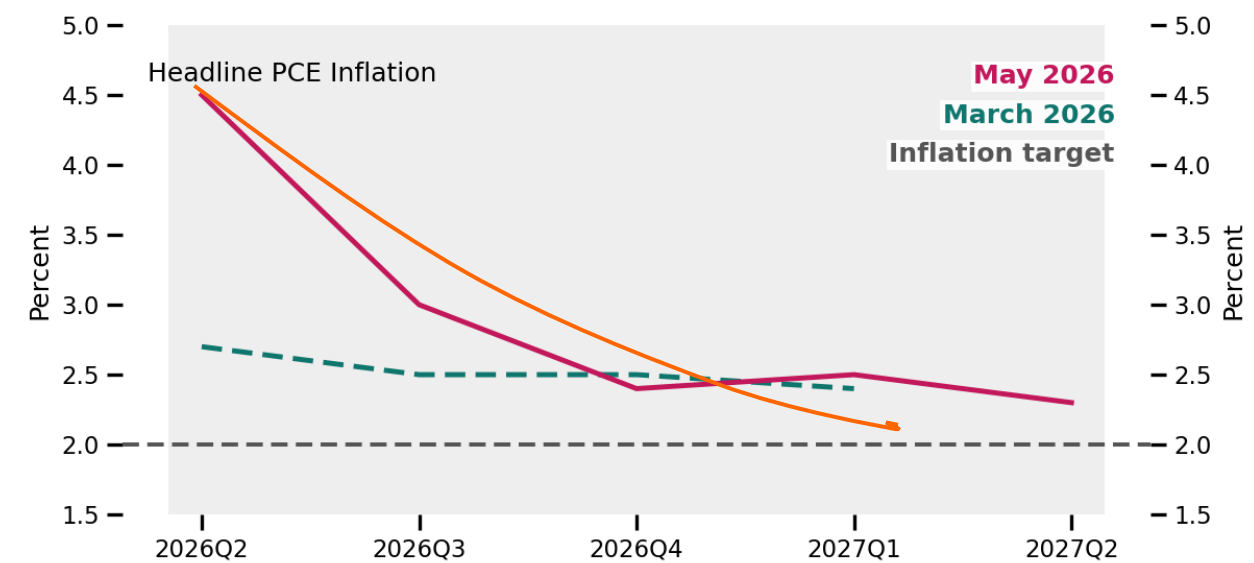
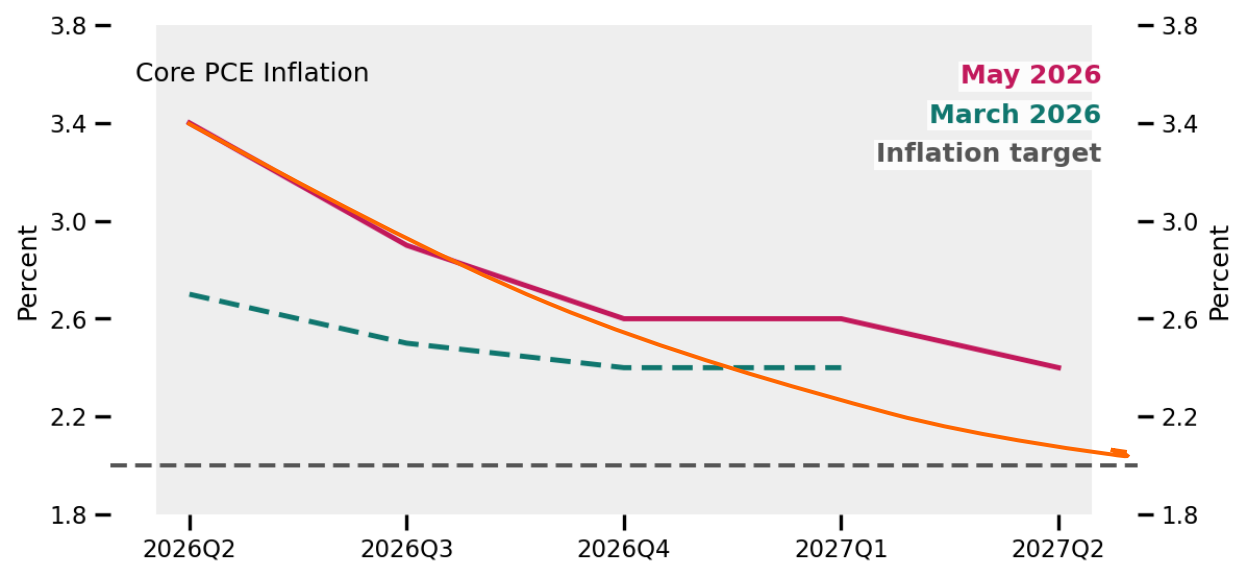
- **May 2026 Narrative:** A temporary spike in oil prices has stagflationary consequences generating a temporary spike to inflation while GDP growth suffers. Interest rates rise to contain inflation.
 - Despite the US being a net exporter of oil, in the aggregate, higher oil prices contribute to lower real growth
 - Pre-existing above target inflation i.e. suspect central bank credibility means interest rates should rise in order to preserve anchored inflation expectations



Last resort: do a basic model projection

- Set initial conditions of the economy and let it run
 - Where is the output gap? Is the economy in a state of excess demand or excess supply?
 - Where is inflation from target?
 - Where is the policy rate relative to the neutral rate?

Last resort: do a basic model projection





Homework: Case A and B Scenario topics

- Pick a topic: AI, oil prices, fiscal policy, etc.
- Think through its implications on inflation, GDP growth, interest rates
- Are there implications on latent variables that would make the analysis more interesting?
 - Inflation expectations
 - Potential output
 - NAIRU
 - Neutral interest rate?